

04 · Advanced risk management

FXC Pro · Class notes (view only)

Topics in this lesson

- Drawdown control
- Correlation risk
- Recovery math



Illustrative chart — for education only. Not financial advice.

Explanation

At professional size, protecting capital is everything. We set daily and weekly loss limits and stop trading when they are hit.

Trading correlated pairs multiplies risk without you realising it; we map correlations before sizing positions.

Understanding the mathematics of drawdown — how much gain it takes to recover a loss — reinforces why small, controlled risk wins.